

Per-line VAT relief

End-to-end walkthrough of a mixed cart on `resmed-oidc-test`, from product page to the tax lines recorded on the order. Screenshots are unedited.

What was being proved

A buyer declaring VAT relief on **one** item in a cart should have **that line only** zero-rated. Every other line stays taxed at 20%. The result has to be visible in Shopify's own tax figures — not just in what the buyer pays.

Test cart

LINE	RELIEF ELIGIBLE	GROSS (INC. VAT)	NET (EX. VAT)	VAT REMOVED
AirTouch N30i — Nasal Mask	Yes	£159.00	£132.50	£26.50
REMZZZ Mask Liner X32	No	£32.00	—	—

Expected numbers

Store prices are **VAT-inclusive**. The VAT inside a gross price is $\text{gross} \div 6$ ($20\%_{120} = 16.667\%$), not 20% of it. The relief price is $\text{gross} \div 1.2$.

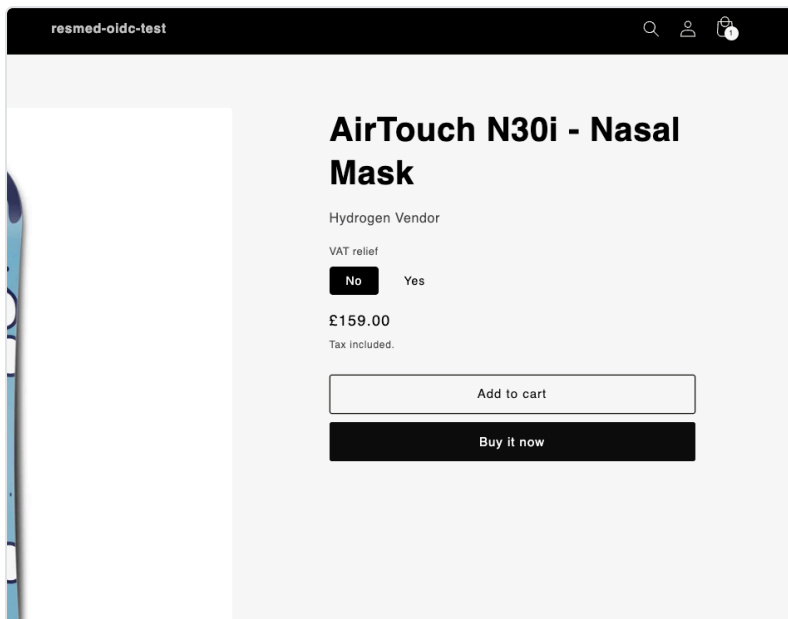
SCENARIO	ORDER TOTAL	VAT RECORDED	WHERE THE VAT COMES FROM
No relief declared	£191.00	£31.83	Both lines — $191 \div 6$
Relief declared on the mask	£164.50	£5.33	Liner only — $32 \div 6$. Mask contributes £0.00

Result: both matched exactly. Steps 1–9 below are the evidence.

Walkthrough

1 Product page — standard price

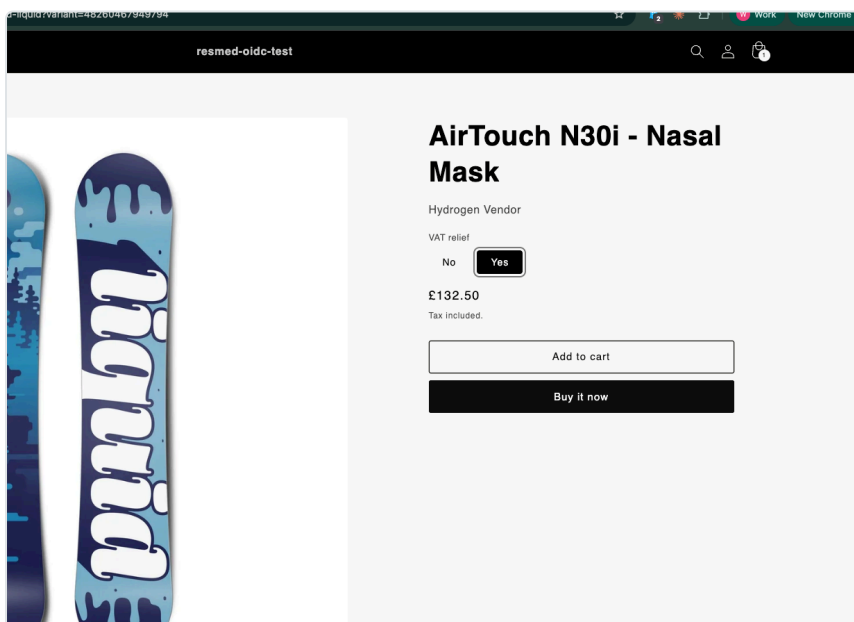
PDP-VAT ITEM.png



Look at: the VAT relief option with No selected, and £159.00 · Tax included. This is the default state every buyer lands on.

2 Product page — relief price

PDP-VAT-ITEM-2.png



Look at: switching the option to Yes drops the price to £132.50 — the net price, £26.50 of VAT gone. This is the merchandise changing, not a discount.

Raise this: the option is selectable here, and Buy it now sits right under it. A buyer can take the relief price straight from this page without ever seeing the declaration checkbox. Closing that needs a server-side checkout validation — the theme cannot do it.

3 Cart — relief not declared

CART PAGE WITHOUT VAT.png

Your cart

[Continue shopping](#)

PRODUCT	QUANTITY	TOTAL
 AirTouch N30i - Nasal Mask £159.00 VAT relief: No ☐ The price shown includes VAT. If you qualify for VAT relief, tick the box to remove the VAT. What is VAT relief?	- 1 + 🗑	£159.00
 REMZZZ Mask Liner X32 £32.00	- 1 + 🗑	£32.00

Subtotal £191.00 GBP
Tax included and shipping calculated at checkout
[Check out](#)

Look at: VAT relief: No, price £159.00, checkbox unticked, subtotal £191.00. The checkbox renders on the mask only — the liner is not eligible, so no checkbox appears on it.

4 Cart — relief declared

CART PAGE WITH VAT.png

Home Catalog Contact resmed-oidc-test

🔍 👤 🛒

Your cart

[Continue shopping](#)

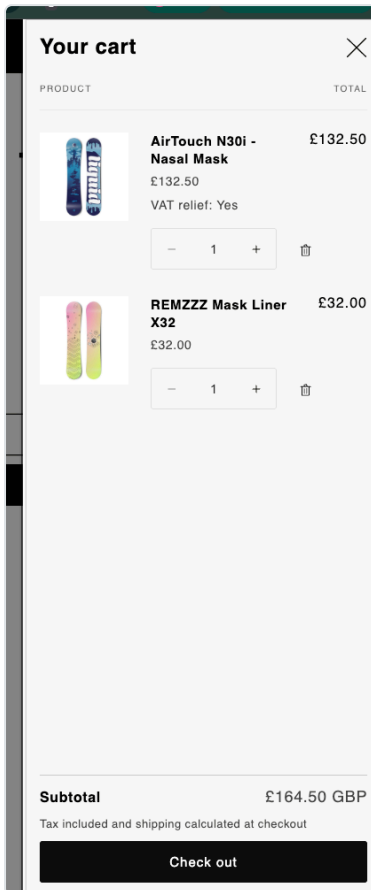
PRODUCT	QUANTITY	TOTAL
 AirTouch N30i - Nasal Mask £132.50 VAT relief: Yes ☒ The price shown includes VAT. If you qualify for VAT relief, tick the box to remove the VAT. What is VAT relief?	- 1 + 🗑	£132.50
 REMZZZ Mask Liner X32 £32.00	- 1 + 🗑	£32.00

Subtotal £164.50 GBP
Tax included and shipping calculated at checkout
[Check out](#)

Look at: ticking the box swaps the line to VAT relief: Yes at £132.50. Subtotal falls to £164.50. The liner is untouched at £32.00 — this is the mixed-cart case working.

5 Cart drawer — state carries

CART_DRAWER.png



Look at: the drawer shows the same VAT relief: Yes / £132.50 / £164.50. Cart page and drawer read the same line, so they cannot disagree.

6 Checkout — relief not declared

CHECKOUT_PAGE_WITHOUT_VAT.png

The screenshot shows a checkout page titled "resmed-oidc-test" with a shopping bag icon. It is divided into two main sections: contact/delivery information on the left and a summary of items on the right.

Contact [Sign in](#)

Email: wan.izam@sweetmag.com.my
☐ Email me with news and offers

Delivery

Country/Region: United Kingdom

First name: Wan Mohd IZAM Bin Wan Mohd ... Last name: ...

Address: No 12 Jalan 6/6G USJ6

Apartment, suite, etc. (optional):

City: Subang Jaya Postcode: SW1A 1AA

Phone (optional):

☐ Save this information for next time

Shipping method

Standard Fri, 28 Aug–Wed, 2 Sept FREE

Summary of items:

 1 AirTouch N30i - Nasal Mask No	£159.00
 1 REMZZZ Mask Liner X32	£32.00

Discount code or gift card: Apply

Subtotal - 2 items: £191.00
Shipping: FREE
Total GBP: **£191.00**
Including £31.83 in taxes

Look at: variant No, total £191.00, Including £31.83 in taxes. That is $191 \div 6$. Baseline.

7 Checkout — relief declared

CHECKOUT PAGE WITH VAT RELIEF.png

resmed-oidc-test

Contact

Email

wan.izam@sweetmag.com.my

☐ Email me with news and offers

Delivery

Country/Region

United Kingdom

First name

Wan Mohd Izam Bin Wan Mohd ...

Last name

.

Address

No 12 Jalan 6/6G USJ6

Apartment, suite, etc. (optional)

City

Subang Jaya

Postcode

SW1A 1AA

Phone (optional)

☐ Save this information for next time

Shipping method

Standard

Fri, 28 Aug–Wed, 2 Sept

FREE

1

AirTouch N30i - Nasal Mask

Yes

£132.50

1

REMZZZ Mask Liner X32

£32.00

Discount code or gift card

Apply

Subtotal · 2 items

£164.50

Shipping

FREE

Total

GBP £164.50

Including £5.33 in taxes

Look at: variant Yes, total £164.50, Including £5.33 in taxes. £5.33 is the liner alone ($32 \div 6$). The mask now contributes £0.00 VAT — Shopify is not taxing it at all.

8 Admin order — the actual result

SHOPIFY ORDER WITH VAT.png

#1005 • Paid • Unfulfilled
August 24, 2026 at 3:59 am from Online Store

Test order
Your payment gateway was in test mode when this order was created.

Unfulfilled (2) • Shop location

Standard
Fulfill by Tuesday, August 25 at 7:00 AM
Deliver by Friday, August 28–September 2

REMZZZ Mask Liner X32
sku-managed-1 £32.00 × 1 £32.00

AirTouch N30i - Nasal Mask
Yes £132.50 × 1 £132.50

Mark as fulfilled Create shipping label

Customer
Wan Mohd Izam Bin Wan Mohd Azmi .
No orders

Contact information
wan.izam@sweetmag.com.my

Shipping address
Wan Mohd Izam Bin Wan Mohd Azmi .
No 12 Jalan 6/6G USJ6
Subang Jaya
SW1A 1AA
United Kingdom
View map

Billing address
Same as shipping address

Conversion summary
There aren't any conversion details available for this order yet
Learn more

Order risk
Analysis not available

Tags

VAT invoices
INV-GB-5 Aug 24, 2026

Timeline

WW Leave a comment...

Only you and other staff can see comments

Today

- VAT invoice INV-GB-5 was generated for this order. 2 minutes ago
- Order confirmation email was sent to you (wan.izam@sweetmag.com.my). 2 minutes ago
View email
- A £164.50 GBP payment was processed using a Bogus ending in •• 1. 2 minutes ago
- Confirmation #AJ5ZN5PLG was generated for this order. 2 minutes ago
- Wan Mohd Izam Bin Wan Mohd Azmi . placed this order on Online Store (checkout #39446635544802). 2 minutes ago

Subtotal	2 Items	£164.50
Shipping	Standard (0.0 lb: Items 0.0 lb, Package 0.0 lb)	£0.00
Taxes	£5.33 GBP • GB VAT 20%	Included
Total		£164.50
Paid		£164.50

This is the step that matters. Everything before it can look right while the tax is still wrong.

Look at: Taxes £5.33 GBP • GB VAT 20% Included. Not £31.83. Not a discount line. Shopify has recorded £0.00 VAT on the mask in its own tax engine, which is what makes the invoice HMRC-correct.

Line items read **AirTouch N30i — Yes £132.50** and **REMZZZ £32.00**. VAT invoice **INV-GB-5** generated.

9 Customer-facing order summary

INVOICE WITH VAT.png

Order summary



AirTouch N30i - Nasal Mask × 1
Yes

£132.50



REMZZZ Mask Liner X32212123 wrong × 1

£32.00

Subtotal **£164.50**

Shipping **£0.00**

Taxes **£5.33**

Total **£164.50 GBP**

Customer information

Shipping address

Wan Mohd Izam Bin Wan Mohd Azmi .
No 12 Jalan 6/6G USJ6
Subang Jaya SW1A 1AA
United Kingdom

Billing address

Wan Mohd Izam Bin Wan Mohd Azmi .
No 12 Jalan 6/6G USJ6
Subang Jaya SW1A 1AA
United Kingdom

Look at: the buyer sees **£132.50**, **Taxes £5.33**, **Total £164.50** — consistent with checkout and with admin.

Two things to note: the liner title here is stale test data (X32212123 wrong), ignore it. And this summary does **not** yet show the struck-through £159.00 / VAT RELIEF (–£26.50) treatment — that patch is written for the order confirmation email but is not reflected in this screenshot.

What this proves

- **Per-line relief works.** One line zero-rated, the other taxed, in the same order.
- **The tax is real, not cosmetic.** Shopify recorded £5.33 — the liner's VAT and nothing else. A discount-based approach would have left £31.83 on the order and only reduced what the buyer paid.
- **The arithmetic is right for VAT-inclusive pricing.** $£159.00 \div 1.2 = £132.50$, VAT removed £26.50. Setting a variant non-taxable *without* re-pricing it to net would have charged the buyer £159.00 and recorded £0.00 VAT — worse than doing nothing.
- **The declaration is recorded on the order** as line properties (`_vat_relief` , `_vat_relief_declared_at`), which is the audit trail.

What it does not yet cover

- **The relief variant is reachable without declaring.** Visible in step 2 — the PDP option picker plus Buy it now. Also reachable via cart permalinks, abandoned-checkout emails, the Shop app and draft orders. None of those pass through the cart page, and no theme change can close them. **A checkout validation function is the only fix**; it is written but not yet built or deployed.
- **Variant labels read "Yes" / "No".** These print on the checkout summary, the order and the invoice. `Yes` on its own is meaningless on a VAT document — rename to "Standard VAT" / "VAT relief applied" before any demo that finance attends.
- **Inventory is split across the two variants.** The relief variant is untracked, so it will never block a sale. Needs a policy decision, not a code fix.
- **Product-scoped discounts do not reach the relief variant.** Anything entitled to specific products or collections must be extended to both. This surfaces in UAT, not in dev.
- **Prices drift.** Edit the gross price in admin and the relief variant is immediately wrong. Drift detection exists in the app; re-sync is manual until a `products/update` webhook is wired.
- **The 20% rate is hardcoded** in the functions and the email template.
- **Declaration content.** A single tick may not satisfy HMRC, which expects the buyer's name, address and the nature of the chronic condition. Worth confirming with finance before UAT.

Prepared from unedited screenshots of test order #1005 on resmed-oidc-test, 24 August 2026. Test mode payment gateway — the order banner says so.